

FIDIC Yellow Book Contract - East Klang Valley Highway Extension Package 4

Contract Reference: ZAVA-INFRA-2026-PKG4 | Form: FIDIC Yellow Book 2017 (Plant and Design-Build) | Employer: Zava Infrastructure Sdn Bhd | Contractor: Apex Engineering Bhd | Engineer: Asianova Consulting

Article 1 - Contract Particulars

Item	Detail
Project	East Klang Valley Highway Extension Package 4 (8.4km)
Contract Sum	MYR 482,400,000 (lump sum)
Commencement Date	01 July 2026
Time for Completion	36 months from Commencement Date
Defects Notification Period	24 months from Taking-Over
Currency	Malaysian Ringgit (MYR)
Governing Law	Laws of Malaysia
Language	English (BM authoritative for statutory)
Dispute Resolution	KLRC arbitration seat KL, single arbitrator

Article 2 - Scope and Specifications

The Contractor shall execute the Works comprising design, supply, construction, testing, and commissioning of an 8.4 kilometre dual-carriageway highway extension including 2 grade-separated interchanges, 1 viaduct (240m), 14 culverts, drainage, road furniture, lighting, ITS systems, and toll plaza ancillaries. Reference design provided in Appendix A. Employer requirements in Appendix B.

Article 3 - Payment Terms

Milestone	Trigger	Value (% of Contract Sum)
Mobilisation Advance	Performance bond + advance guarantee in place	10%
Monthly Interim Payment	Engineer-certified IPC	against value
Substantial Completion	Taking-Over Certificate issued	5%
Final Account	DNP expiry + final certificate	5%

Article 4 - Performance Security

Contractor shall provide a Performance Bond in the form of an On-Demand Bank Guarantee from an approved Malaysian licensed bank valued at 10% of the Contract Sum, issued within 28 days of Letter of Acceptance, valid until expiry of the Defects Notification Period plus 90 days.

Article 5 - Liquidated Damages

In the event of late completion, the Contractor shall pay Liquidated Damages of MYR 240,000 per day of delay, capped at 10% of the Contract Sum, in accordance with FIDIC Sub-Clause 8.8.

Article 6 - Variation Mechanism

- Variations administered per FIDIC Yellow Book Clause 13
- Quotation submission within 28 days of Variation Order
- Engineer determination per Sub-Clause 3.7
- Maximum Variation Limit: 15% of Contract Sum without Employer Board re-approval

Article 7 - Special Conditions of Contract

7.1 - Local Content Requirement

Minimum 70% local content (by value) for materials, plant, and services. Quarterly reporting to the Engineer; non-compliance triggers a 0.25% Contract Sum deduction per percentage-point shortfall.

7.2 - Bumiputera Sub-Contracting

Minimum 30% (by value) of sub-contracted scope must be awarded to Bumiputera Class A/B/C contractors registered with CIDB. Compliance audited quarterly.

7.3 - Health, Safety, and Environment

Contractor shall maintain a CIDB Green Card site, OHSAS 18001 certification, and DOSH-compliant SH&E; plan. Lost-Time Injury Frequency Rate target: ≤ 0.5 per 200,000 man-hours. Fatal incident triggers immediate suspension and root-cause investigation.

7.4 - Sustainability

Minimum 35% recycled content in pavement base course. Construction waste diversion $\geq 80\%$. Carbon footprint reporting per ISO 14064-1 quarterly. Tree replacement ratio 1:3 for site clearance.

Article 8 - Signatures

Party	Signatory	Position	Date
Employer	_____	Group MD - Zava Infrastructure	_____
Contractor	_____	CEO - Apex Engineering Bhd	_____
Witness	_____	Engineer Representative	_____